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- The assets and liabilities are classified into two categories: **current and noncurrent**. Current assets are those to be used or turned into cash within the upcoming year, whereas noncurrent assets are those that will last longer than one year. Current liabilities are those obligations to be paid or settled within the next 12 months with current assets.
- **Dollar signs** are indicated at the top and bottom of the asset section and top and bottom of the liabilities and shareholders' equity section.
- The statement includes **comparative data**. That is, it compares the actual but simplified account balances at December 31, 2019, with those at March 31, 2020, based on assumed quarterly transactions. When multiple periods are presented, the most recent balance sheet amounts are usually listed on the left, but not always (look carefully).
- Most companies do not provide a **total liabilities line** on the balance sheet. To determine total liabilities on those statements, add total current liabilities and each of the noncurrent liabilities.

INTERNATIONAL PERSPECTIVE

Although IFRS (International Financial Reporting Standards) differ from U. S. GAAP (Generally Accepted Accounting Principles), it uses the same system of analyzing, recording, and summarizing the results of business activities that you have learned in this chapter.

One place where IFRS differs from GAAP is in the **formatting** of financial statements.

Financial statements prepared using GAAP and IFRS include the same elements (assets, liabilities, revenues, expenses, etc.). However, a single, consistent format has not been mandated.

On the balance sheet, GAAP begins with current items, whereas IFRS begins with noncurrent items. Consistent with this, assets are listed in decreasing order of liquidity under GAAP, but, internationally, assets are usually listed in increasing order of liquidity. IFRS similarly emphasizes longer-term financing sources by listing equity before liabilities and, within liabilities, by listing noncurrent liabilities before current liabilities (decreasing time to maturity). The key to avoiding confusion is to be sure to pay attention to the subheadings in the statement. Any account under the heading "liabilities" must be a liability.

CHAPTER 3: OPERATING DECISIONS AND THE ACCOUNTING SYSTEM

THE OPERATING CYCLE

The operating cycle begins with the **purchase or manufacture of a product for sale**. When products are purchased from suppliers, those **suppliers must be paid**. After a sale has been made, the company must **deliver the product or service** to the customer. Many business sales

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are made on credit. If credit is extended, **payment must be received from customers**. Once the cash has been collected from customers, the business cycle begins all over again.

We never want to confuse the business operating cycle with the accounting cycle.

Companies (1) acquire inventory and the services of employees and (2) sell inventory or services to customers. The operating (or cash-to-cash) cycle begins when a company receives goods to sell (or, in the case of a service company, has employees work to provide services to customers) and ends when customers pay cash to the company. The length of time for completion of the operating cycle depends on the nature of the business.

We know that most successful companies operate for a very long period of time, and managers and investors need financial information on a timely basis. For accountants to provide this information, we have to divide the life of the business into relatively short, arbitrary time periods.

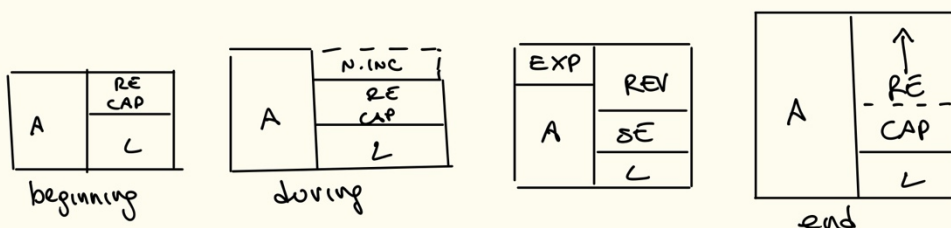
We usually divide the life of a business into months, quarters, and annual time periods. When we establish these relatively short time periods, we create many measurement issues—for example, problems of revenue and expense recognition.

Two issues arise when reporting periodic income:

- 1) **Recognition issues:** When should the effects of operating activities be recognized?
- 2) **Measurement issues:** What amounts should be recognized?"

$$A = L + SE (CAP + RE) + NET INCOME (REV - EXP)$$

$$A + EXP = L + SE + REV$$



ELEMENTS OF THE INCOME STATEMENT

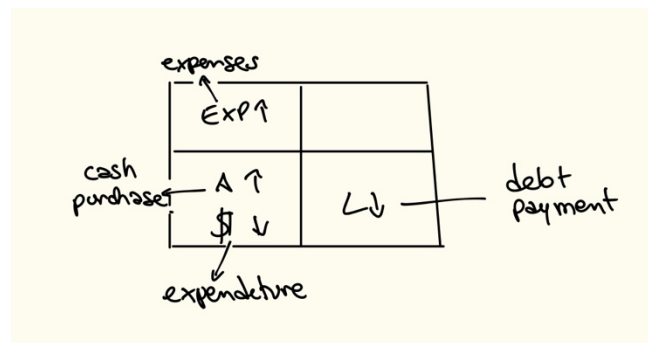
The income statement contains revenues, expenses, gains, and losses.

- **Operating revenues** result from the sale of goods or services. When revenue is earned, assets, usually Cash or Accounts Receivables, often increase. Sometimes if a customer

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pays for goods or services in advance, a liability account, usually Unearned (or Deferred) Revenue, is created.

- **Expenses** are decreases in assets or increases in liabilities from ongoing operations incurred to generate revenues during the period.
- **Gains** (with an account called Gain on Sale of Assets) result in an increase in assets or decrease in liabilities from a peripheral transaction.
- **Losses** are decreases in assets or increases in liabilities from peripheral transactions.



OPERATING REVENUES

Revenues are defined as increases in assets or settlements of liabilities from the major or central ongoing operations of the business. For example, when Chipotle sells burritos, it has earned revenue, and assets, usually Cash or Accounts Receivables, often increase.

Sometimes, a customer can pay for goods or services in advance. This results in a cash transaction but no services being rendered or goods being sold. We would define this transaction as unearned revenue, which is a liability account, because the cash was received, but we have not earned the revenue yet by performing the service or selling the goods.

OPERATING EXPENSES

Expenses are the costs of operating the business that are incurred to generate revenues during the period. Usually, many expenses are incurred (that is, the resources or services of others that are used) in making a sale or providing a service. When employees prepare and serve food to customers, a restaurant incurs an expense for using employee labor to generate revenue. The company uses electric service to operate equipment and light its facilities, and it uses food and paper supplies. Without incurring these expenses, a restaurant could not generate revenues.

Expenses may be incurred before, after, or at the same time as they are paid in cash.

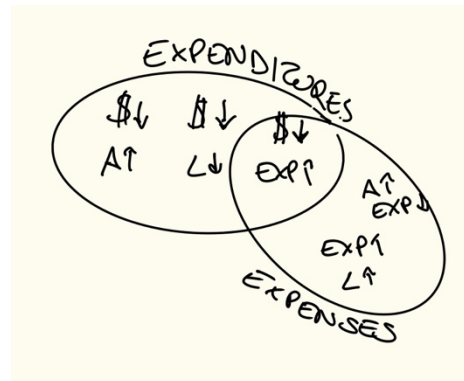
- Don't confuse expenditures and expenses! An expenditure is an outflow of cash for any purpose, whether to buy equipment, pay off a bank loan, or pay employees their wages.

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- Therefore, not all cash expenditures are expenses!

Cash expenditures:

- Debt payments
- Asset purchases
- Expenses



Payment of dividends is not an expense (expenses make shareholders sad, dividends don't 😊)

OTHER INCOME STATEMENT ITEMS

Not all activities affecting the income statement are “central to ongoing operations”.

Revenues, expenses, gains, or losses that result from other activities that are NOT central to ongoing operations are categorized as Other Items.

These items are not included in the subtotal “Income from Operations”.

Other items typically include:

- Interest Revenue (also Investment Revenue, Investment Income, or Dividend Revenue)
- Interest Expense
- Losses (Gains) on Sale of Investments

Typical Income Statement Format

Operating Revenues
<u>Less Operating Expenses</u>
Income from Operations
<u>Add/Less: Other Items</u>
Income before Income Taxes (<i>or Pretax Income</i>)
<u>Income Tax Expense (<i>or Provision for Income Taxes</i>)</u>
Net Income

Corporations are required to disclose earning per share (EPS) on the income statement or in the notes to the financial statements.

$$\text{Earnings per Share}^* = \frac{\text{Net Income}}{\text{Weighted average number of shares of common stock outstanding}}$$

Operating expenses are subtracted from operating revenues to determine **Income before Income Taxes** (also called Pretax Income). From this subtotal, Income Tax Expense (also called Provision for Income Taxes) is calculated by applying the tax rates of the federal, state, local, and foreign taxing authorities.

Corporations are required to disclose **earnings per share** (EPS). This is typically presented at the bottom of the income statement.

USING DATA ANALYTICS IN THE RESTAURANT INDUSTRY TO INCREASE REVENUES AND DECREASE COSTS

Restaurants use a variety of technologies (kiosks, apps, tableside tablets) to mine data to analyze purchasing profiles. Data analytics is also used to monitor employee performance, improve scheduling, boost customer loyalty, and maximize marketing efficiency.

Here are examples of how data analytics is used to optimize performance, make better and faster decisions, reduce costs, and improve customer experience:

- Panera Bread installed ordering kiosks to: (1) encourage menu browsing, (2) capture customer preferences, (3) fine-tune the menu based on preferences, (4) produce shorter lines for a better customer experience, (5) ensure better order accuracy to improve operational efficiency and reduce waste, and (5) save and/or redeploy labor costs.

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- McDonald's uses data to predict customer demand in drive-thru sales. By ensuring adequate staffing and alerting staff to the spike in demand, the efficiency of operations is improved along with enhancing the customer experience.
- Wendy's analyzes big data to identify the most profitable new restaurant locations.
- Pizza Hut uses software to track customer eye movements on digital, interactive menus to discover what customers subconsciously want.
- Dunkin' mines data from its loyalty program to send customers targeted offers at specific times.

HOW ARE OPERATING ACTIVITIES RECOGNIZED AND MEASURED?

Cash Basis Accounting

Cash basis accounting is used by many sole proprietors and small partnerships to determine performance.

- It is simple and permitted for tax purposes
- Cash basis accounting recognize revenue at the time cash is received and recognize expenses at the time cash is paid (records each cash payment as a cash outflow and each cash receipt as a cash inflow)
- This produces net cash flow information that is often quite adequate for organizations that do not need to report to external users.

CAUTION: Cash basis accounting may lead to an incorrect interpretation of future company performance. GAAP does not allow the cash basis of accounting.

GENERALLY ACCEPTED ACCOUNTING PRINCIPLES REQUIRE ACCRUAL BASIS ACCOUNTING FOR FINANCIAL REPORTING.

Accrual basis accounting is required by GAAP and used to report to external decision makers.

- The accounting principles that determine when revenues and expenses are recorded are the revenue recognition principle and the expense recognition principle (also called the matching principle).
- Revenues are recognized when goods and services are provided to customers (they are earned)
- Expenses are recognized in the same period as the revenues to which they relate (resources are used or debts are incurred to generate revenues), regardless of when cash is received or paid.

REVENUE RECOGNITION PRINCIPLE

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The **revenue recognition principle** specifies the timing and amount of revenue to be recognized during an accounting period.

Revenue is recognized:

(1) when the company transfers promised goods or services to customers

(2) in the amount it expects to be entitled to receive.

Steps to recognize revenues:

Step 1. Identify the contract (written, verbal, or implied agreement) between the company and customer.

Step 2. Identify the seller's performance obligations (promised goods and services).

Step 3. Determine the transaction price (the amount the seller expects to be entitled to receive from the customer).

Step 4. Allocate the transaction price to the performance obligations.

Step 5. Recognize revenue when each performance obligation is satisfied (or over time if a service is provided over time).

The critical point for revenue recognition under the five-step model is when goods or services are delivered, not when cash is received from customers.

Cash may be received at any of these times:

1. **Before** the goods or services are delivered:

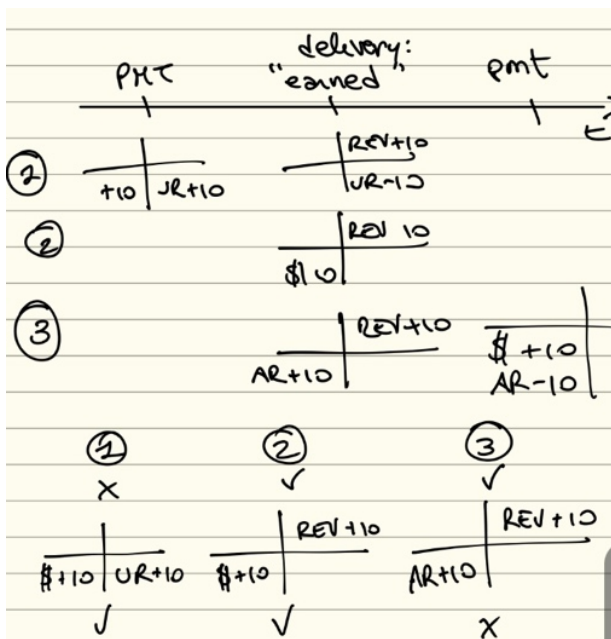
Companies sell gift cards to customers for cash in exchange for the promise to provide future goods or services. Because the company has not delivered the goods or services at that point, it records no revenue. Instead, it creates a liability account, Unearned Revenue (also called Deferred Revenue), representing the amount owed to the customers. Later, when customers redeem their gift cards and the goods are delivered

2. **In the same period** as the goods or services are delivered:

Goods are delivered in exchange for cash, earning revenue in the process.

3. **After** the goods or services are delivered:

When a business sells goods or services on account (creating Accounts Receivable due from customers), the revenue is earned when the goods or services are delivered, not when cash is received at a later date. Assume goods are ordered by customers and the company bills them at the end of the month, rather than when they receive the goods. When delivered, the company records Sales Revenue and the asset Accounts Receivable, representing the customer's promise to pay in the future. When the customer pays its monthly bill, the company will increase its Cash account and decrease the asset Accounts Receivable.



Revenue is always recorded when the goods or services are delivered, not when the cash is received from customers.

EXPENSE RECOGNITION PRINCIPLE

The **expense recognition principle** (also called the matching principle) requires that costs incurred to generate revenues be recognized in the same period—a matching of costs with benefits.

The costs of generating revenue include expenses incurred such as:

- Salaries and wages to employees who worked during the period.
- Utilities for the electricity used during the period.
- Supplies used during the period.
- Facilities rented during the period.
- Equipment used during the period.

Cash may be paid at any of these times:

1. **Before** the expense is incurred to generate revenue.
2. **In the same period** as the expense is incurred to generate revenue.
3. **After** the cost is incurred to generate revenue

Expenses are recorded as **incurred**, regardless of when cash is paid.

A QUESTION OF ETHICS

Investors in the stock market base their decisions on their expectations of a company's future earnings. When companies announce quarterly and annual earnings information, investors evaluate how well the companies have met expectations and adjust their investing decisions

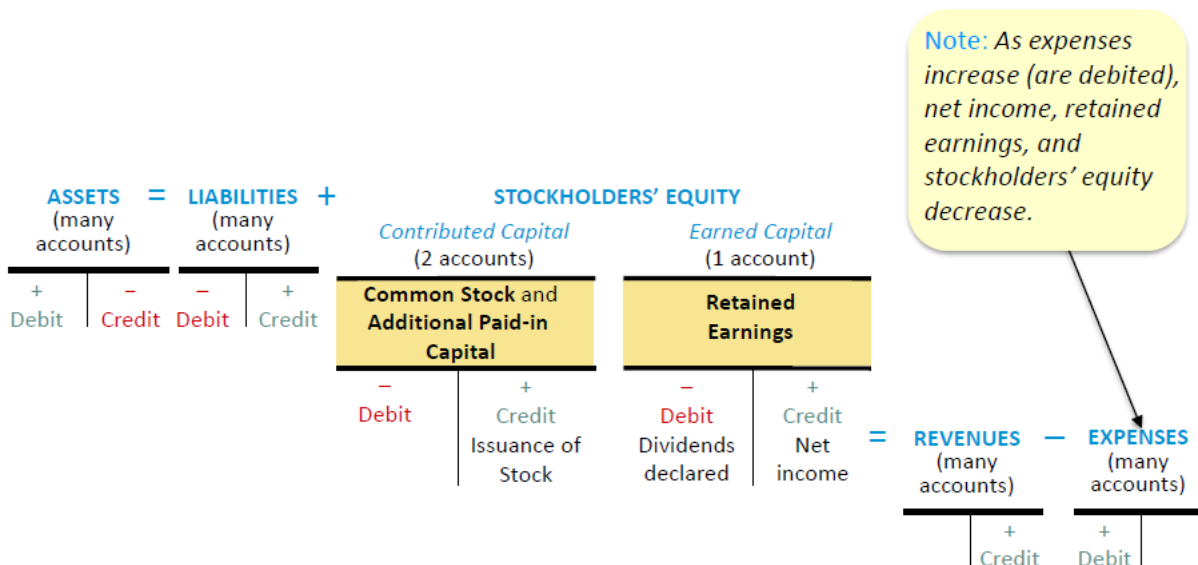
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accordingly. Companies that fail to meet expectations often experience a decline in stock price. Thus, managers are motivated to produce earnings results that meet or exceed investors' expectations to bolster stock prices. Greed may lead some managers to make unethical accounting and reporting decisions, often involving falsifying revenues and expenses. While this sometimes fools people for a short time, it rarely works in the long run and often leads to very bad consequences.

Fraud is a criminal offense for which managers may be sentenced to jail. A couple of historic fraud cases involving faulty revenue and expense accounting are discussed briefly below:

- In 2002, Worldcom, the second largest long-distance telephone company in the United States at the time (now merged into Verizon), violated the expense recognition principle by recording \$11 billion in expenses as assets, thus overstating assets and overstating net income. This act to inflate earnings was perpetrated to boost WorldCom's sagging stock price. Bernie Ebbers, age 65 and former CEO of WorldCom, was convicted and found guilty in 2005 and subsequently sentenced to 25 years in prison. At the time, this was the largest accounting fraud in U.S. history. [Post-script: Ebbers was released from prison in December 2019 due to declining health and died in February 2020.]
- ZZZZ Best was a carpet cleaning company started by teenager Barry Minkow who took the company public in 1986 when he was 20. However, the company was one of the largest accounting and investments frauds ever perpetrated by a single person. Among numerous criminal or questionable activities, Minkow violated the revenue recognition principle by creating fictitious sales to boost the company's earnings and stock price and appear strong to attract large investment deals. But the company was a sham, one that its auditing firm failed to discover. At the age of 23, Minkow was convicted and sentenced to 25 years in prison and ordered to pay \$26 million in restitution. The audit firm paid \$35 million for failing to uncover the fraud. Investors and lenders reportedly lost \$100 million. [Post-script: After early release in 1995, Minkow pursued numerous fraudulent activities and was sentenced to federal prison two additional times before being released in 2019 and ordered to pay over \$580 million in restitution.]

Many others are affected by accounting fraud. Shareholders lose stock value, employees may lose their jobs (and pension funds, as in the case of Enron), and customers and suppliers may become wary of dealing with a company operating under the cloud of fraud. As a manager, you may face an ethical dilemma in the workplace. The ethical decision to make is the one you will be proud of 20 years later.



From our Statement of Retained Earnings, we know that **net income increases retained earnings**. Revenues increase net income, and expenses decrease net income. Revenues show increases and decreases on the same sides of the T-account as retained earnings. A credit to the revenue account increases revenue, a debit to the revenue account decreases revenue. Because expenses reduce revenues in the calculation of net income, increases and decreases in expense accounts are shown on the opposite sides when compared to revenue accounts. A debit to an expense account represents an increase in expenses, while a credit to an expense account represents a decrease in expenses.

REVENUES	EXPENSES
Increase net income and stockholders' equity	Decrease net income and stockholders' equity
↑ with Credits	↑ with Debits
Accounts have credit balances	Accounts have debit balances

Revenues increase net income, and expenses decrease net income.

A credit to the revenue account increases revenue, a debit to the revenue account decreases revenue. A debit to the expense account increases expense; a credit to the expense account decreases expense.

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Step 1: Ask → Was a revenue earned by delivering goods or services?

- If so, debit the account for what was received (+A, -L) and credit the revenue account (+R, +SE)

OR Was an expense incurred to generate a revenue in the current period?

- If so, debit the expense account (+E, -SE) and credit the account for what was given (-A, +L)

OR If neither a revenue was earned or an expense was incurred, what was received and given?

- debit the account for what was received (+A, -L)
- credit the account for what was given (-A, +L)

Step 2: Verify → Is the accounting equation in balance? ($A = L + SE$)

- Do debits = credits?

CHAPTER 4 (ADJUSTMENTS, FINANCIAL STATEMENTS, AND THE CLOSING PROCESS)

Managers are responsible for preparing financial statements that will be useful to investors, creditors, and others. Financial information is most useful for analyzing the past and predicting the future when it is considered by users to be of high quality. High-quality information is information that is relevant (that is, material and able to influence users' decisions) and a faithful representation of what is being reported (that is, complete, free from error, and unbiased in portraying economic reality).

THE ACCOUNTING CYCLE

The accounting cycle is the process followed by entities to analyze and record transactions, adjust the records at the end of the period, prepare financial statements, and prepare the records for the next cycle.

During the accounting period, transactions that result in exchanges between the company and other external parties are analyzed and recorded in the general journal in chronological order (journal entries), and the related accounts are updated in the general ledger (T-accounts).

The end-of-period steps focus primarily on adjustments to record revenues and expenses in the proper period and to update the balance sheet accounts for reporting purposes.